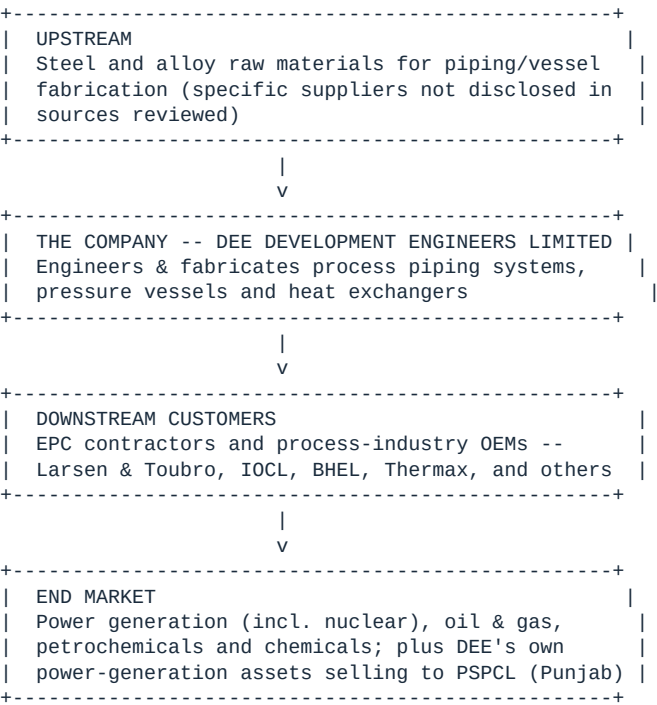


DEE Development Engineers Limited

DEE Development Engineers Limited designs, engineers and fabricates complex process piping systems, pressure vessels, and heat exchangers, and describes itself as India's largest player in process piping by installed capacity. Incorporated in 1988 and headquartered in Palwal, Haryana, the company serves the power (including nuclear), oil & gas, petrochemicals and chemicals industries. It listed on the BSE (544198) and NSE (DEEDEV) on 26 June 2024 following its IPO at Rs. 203/share. As of 10 July 2026 it had a market capitalization of approximately Rs. 4,839 crore (screener.in).

Value Chain Positioning

DEE fabricates engineered piping systems, pressure vessels and heat exchangers from steel and alloy inputs (specific raw-material suppliers not disclosed in the sources reviewed) and supplies EPC contractors and process-industry OEMs — named clients include Larsen & Toubro, IOCL, BHEL and Thermax. Downstream, its products go into power generation (including nuclear), oil & gas, and petrochemical/chemical plants. The company also directly owns and operates power-generation assets (an 8 MW biomass plant and the Malwa Power plant) through its wholly-owned subsidiary Malwa Power Private Limited, selling electricity to Punjab State Power Corporation Limited (PSPCL) — a downstream/regulated-utility exposure distinct from its core fabrication business. It also has manufacturing operations in Thailand (DEE Piping Systems Thailand) supporting export/international customers.



Near Term (Next 1 to 2 Quarters)

- FY26 Revenue Guidance Exceeded [Delivered]:** Original FY26 guidance was 18-20% revenue growth; actual FY26 revenue came in at Rs. 1,142cr, +38% YoY versus FY25's Rs. 827cr — well ahead of the guided range. "let me make it very clear that our original guidance was 18% to 20%, I mean without considering [one-off items]"
- PSERC Tariff Dispute — Interim Relief via High Court Stay [Pending]:** The Power Division's regulator-set tariff was cut to Rs. 5.877/unit by PSERC in August 2025; the company's High Court appeal secured a stay in October 2025, so it continues billing PSPCL at the prior Rs. 7.47/unit pending final disposal. "Its final hearing with the PSERC were held around 10, 15 days back and we are expecting order" (Q3 FY26 concall)

Medium Term (6 to 12 Months)

- **FY27 Order Inflow Guidance** [Pending]: Management guided order inflow of more than Rs. 2,000cr for FY27, roughly 60% from the power sector and the balance from oil & gas. (Source: secondary coverage of the Q4 FY26 concall, 22 May 2026 — the primary transcript PDF was corrupted/unreadable in this run; see sourcing note below.)
- **FY27 Revenue and Margin Guidance** [Pending]: Management guided FY27 revenue of approximately Rs. 1,500cr and an EBITDA margin above 19%. (Source: secondary coverage of the Q4 FY26 concall, 22 May 2026 — see sourcing note.)

Long Term (1+ Years)

- **Order Book Trajectory Toward FY27** [On Track]: On the Q3 FY26 call, management pointed to an order book climbing from ~Rs. 1,300cr toward a ~Rs. 2,000cr level for FY27; the order book has since grown well past that path (Rs. 1,940cr at FY26 close, Rs. 2,428-2,434cr by May/June 2026), consistent with the trajectory described. "But for FY'27 to be at let us say Rs. 2000 crore order book how we are" / "we are at Rs. 1300 crore order book in December and incremental Rs. 300 crore to Rs. 400 [crore expected]" (Q3 FY26 concall)
- **Facility Utilization Ramp (Anjar and Seamless Pipe Plant)** [Pending]: Management expects optimal utilization at the Anjar fabrication facility (capacity doubled to 30,000 MTPA effective September 2025) in FY27, and targets 60-70% utilization at the newly commissioned seamless pipe plant. (Source: secondary coverage of the Q4 FY26 concall, 22 May 2026 — see sourcing note.)

Sourcing note: the Q4 FY26 (22 May 2026) concall transcript PDF cached for this run had a corrupted text layer (broken font encoding) that could not be reliably extracted or quoted verbatim — attempting to read it produced scrambled, unreadable text. The three FY27-guidance bullets above are therefore sourced to secondary financial-news coverage of that call rather than a directly-quoted primary transcript; all other bullets and sections in this report are sourced to the Q3 FY26 primary transcript (which extracted cleanly) or to screener.in/CARE Ratings/exchange filings as cited.

Marquee & Niche Customers

- **Larsen & Toubro (L&T)**: Named client; DEE Development's shares rose on a reported order win from an L&T unit (August 2024). (Source: press coverage, Aug 2024)
- **IOCL (Indian Oil Corporation)**: Named client in the oil & gas segment. (Source: press coverage)
- **BHEL (Bharat Heavy Electricals Limited)**: Named client in the power segment. (Source: press coverage)
- **Thermax**: Named client. (Source: press coverage)
- **Unnamed international EPC company (niche)**: Entered a Reservation Agreement reserving 60% of DEE's total HRSG (Heat Recovery Steam Generator) pipe spool fabrication capacity, with a minimum annual job value of USD 15.27 million; the counterparty's name was not disclosed in the sources reviewed. (Source: secondary coverage of the Q4 FY26 concall)

No customer-concentration percentage was disclosed in the sources reviewed. **Customers' own guidance:** no independently disclosed capacity or demand guidance from L&T, IOCL, BHEL, or Thermax specifically corroborating demand for DEE's products was found in the sources reviewed for this report.

Capex, Milestones & Certifications Timeline

Date/Quarter	Milestone	Status	Amount	Source
Effective 8 Sep 2025	Anjar facility (Gujarat) capacity doubled to 30,000 MTPA (added 15,000 MT)	Achieved	Not disclosed	Company announcement, Sep 2025

Date/Quarter	Milestone	Status	Amount	Source
FY26 (in progress through the year)	Seamless pipe plant commissioned	Achieved	Not disclosed	Secondary coverage of Q4 FY26 concall
3 Jun 2026 (board); 27 Jun 2026 (EGM)	Preferential allotment of 59,76,096 shares at Rs. 502/share	Achieved	Rs. 300cr (Rs. 293cr net)	BSE/NSE filings, Jun 2026
FY27	Optimal utilization targeted at Anjar facility; 60-70% utilization targeted at seamless pipe plant	Planned	Not disclosed	Secondary coverage of Q4 FY26 concall
No date given	Reservation Agreement with unnamed international EPC company — 60% of HRSG pipe spool capacity reserved	Achieved (agreement signed)	Min. USD 15.27mn/year	Secondary coverage of Q4 FY26 concall

No specific certification standard (e.g. ASME, PED) with a certification date was found in the sources reviewed for this report, though the company's process-piping business for power/nuclear/oil & gas clients implies relevant industry certifications are in place.

Financial Performance Summary

Fiscal Year	Revenue (Rs. cr)	YoY Growth	EBITDA Margin	PBT (Rs. cr)	PAT (Rs. cr)	PAT Margin
FY21	495	—	11%	9	14	2.8%
FY22	461	-6.9%	15%	13	8	1.7%
FY23	596	+29.3%	12%	20	13	2.2%
FY24	789	+32.4%	14%	36	26	3.3%
FY25	827	+4.8%	16%	55	44	5.3%
FY26	1,142	+38.1%	17%	96	77	6.7%

Source: screener.in consolidated results. Revenue and profitability have both grown strongly since listing (Jun 2024), with EBITDA margin expanding from 11% (FY21) to 17% (FY26) and PAT margin from 2.8% to 6.7% over the same period; FY22's PAT decline coincided with a period of slower revenue growth ahead of the FY23-26 capacity build-out.

Segment-wise Performance

No formal revenue-by-segment (e.g. power vs. oil & gas vs. other) breakdown was found in the sources reviewed for this report — DEE reports as a single process-piping fabrication business. The closest disclosed segment-style figure is a **forward composition target, not a historical revenue split**: management's FY27 order-inflow guidance of ~Rs. 2,000cr+ is expected to be roughly 60% power sector / 40% oil & gas (already captured in the Medium Term outlook above — not duplicated here as a table since it is a forward mix target, not a reported segment revenue table).

Order Book

As-of Date	Order Book (Rs. cr)	Basis	Composition	Source
1 Sep 2024	1,076.84	Unexecuted order book (CARE definition)	Not broken out	CARE Ratings rationale, 10 Oct 2025
1 Sep 2025	1,260.87	Unexecuted order book (CARE definition), 1.96x FY25 total operating income	Not broken out	CARE Ratings rationale, 10 Oct 2025

As-of Date	Order Book (Rs. cr)	Basis	Composition	Source
31 Mar 2026 (FY26 close)	1,940	Closing order book	Not broken out	Q4 FY26 results coverage
30 Apr 2026	1,909.82	Closing order book	Includes L1 (lowest-bidder, pending formal award) status on Rs. 211cr	Exchange filing, Apr 2026
31 May 2026	2,433.90	Closing order book	Rs. 631.91cr of new orders booked during the month	Exchange filing, May 2026
~Jun 2026	2,428.20	Closing order book	Not broken out	screener.in Documents tab

The CARE-defined "unexecuted order book" and the "closing order book" figures used in monthly exchange disclosures appear to use different definitions/scopes (note the CARE figure is roughly half the closing-order-book figure for a similar period) — shown separately rather than reconciled, since the exact difference in methodology was not disclosed in the sources reviewed.

Manufacturing Locations & Physical Assets

Location	Notes
Palwal, Haryana (Facility I, II, III)	Registered office and primary manufacturing base; three facilities
Anjar, Gujarat (Village Lakhapar, Dist. Kutch)	Capacity doubled to 30,000 MTPA effective 8 Sep 2025
Barmer, Rajasthan	Manufacturing facility (specific capacity not disclosed in sources reviewed)
Bangkok, Thailand	International manufacturing operation via wholly-owned subsidiary DEE Piping Systems (Thailand) Company Limited

Owned-vs-leased status and area for each site were not disclosed in the sources reviewed beyond the Anjar capacity figure above. An earlier (FY23/9M FY24) cumulative installed capacity figure of ~70,875-94,500 MT was disclosed pre-dating the Anjar expansion and the seamless pipe plant commissioning, so it is noted here only for historical context rather than as a current figure.

Capacity Utilization & Headroom

No current utilization percentage for the fabrication business overall was disclosed in the sources reviewed. Forward-looking, management targets "optimal utilization" at the Anjar facility and 60-70% utilization at the seamless pipe plant during FY27 (see Long Term outlook) — implying these facilities are running below optimal levels as of the Q4 FY26 call, consistent with them having been recently commissioned/expanded, but no specific current-utilization percentage was stated.

Total Addressable Market (TAM)

No specific TAM figure (market-size number) was disclosed in the sources reviewed for this report. Separately, and not treated as a TAM figure since it is a company-specific revenue target rather than a market-size estimate, press coverage from January 2025 reported the company's Chairman & Managing Director expecting revenue to roughly triple to ~Rs. 2,400cr — no verbatim quote or specific timeframe for this target could be sourced in this run, so it is noted here as directional color rather than as a status-pointer outlook bullet.

Valuation — Forward PE

Input	Value	Source/Basis
Revenue guidance	Rs. 1,500cr	FY27 guidance, per secondary coverage of the Q4 FY26 concall (22 May 2026)

Input	Value	Source/Basis
PAT margin used	6.7%	Assumed — trailing FY26 actual PAT margin (Rs. 77cr PAT / Rs. 1,142cr revenue); management's guided ">19%" figure for FY27 is an EBITDA margin, not a PAT margin, so it is not directly usable here
Shares outstanding	6.9cr	Equity capital (Rs. 69cr, as of Mar 2026) ÷ face value (Rs. 10) — does not yet reflect the ~0.6cr shares from the June 2026 preferential allotment
Forward EPS	Rs. 14.66	Revenue guidance × margin ÷ shares
Price	Rs. 699	Current market price (screener.in, 10 Jul 2026)
Forward PE	47.7x	Price ÷ Forward EPS

Forward PE of 47.7x is arithmetic on a secondary-sourced FY27 revenue guidance figure and a trailing-margin assumption (not a management-guided PAT margin), not a valuation call. Note the share count used predates the June 2026 preferential allotment, which will be modestly dilutive once reflected.

Industry Tailwinds / Headwinds

Tailwinds

- **Broad-based capex cycle across power, oil & gas and petrochemicals** in India is the underlying demand driver management cites for both the power-sector and oil & gas order pipeline (per the FY27 order-inflow mix guidance above).
- **Nuclear power sector positioning:** DEE's process-piping capabilities extend to nuclear-sector clients, a segment with structural long-term government support in India, though no specific nuclear-segment order or revenue figure was disclosed in the sources reviewed.

Headwinds

- **Regulatory/tariff risk in the company's own power-generation business:** the PSERC tariff dispute (see Near Term outlook and Legal & Litigation below) is a direct, live example of regulatory risk within DEE's non-core power-generation exposure (via Malwa Power Private Limited), separate from its core fabrication business.
- **Execution risk on a rapidly-growing order book:** the order book has grown from ~Rs. 1,300cr (Dec 2025) to over Rs. 2,400cr (May/June 2026) in roughly six months — converting this expanded backlog on schedule, while ramping new capacity (Anjar, seamless pipe plant) to optimal utilization, is an execution dependency flagged by CARE Ratings as a rating constraint (see Promoter/Governance below).

Technical Snapshot

(As of approximately 7-10 July 2026 — this section goes stale within days; re-check before relying on it if this report is more than a week old.)

- Current price: Rs. 699 (screener.in, 10 Jul 2026); a separate technicals source quoted Rs. 704 (10 Jul) and Rs. 647 (7 Jul 2026) — minor cross-source variance, all in the same range.
- 6-month return: +208%; 1-year return: +107% (as of ~7 Jul 2026).
- Weekly and monthly RSI: bearish/overbought signal; daily RSI: ~61 (mid-range).
- Daily moving averages: bullish. Bollinger Bands: bullish on both weekly and monthly timeframes, with price trading near the upper band (a level that often acts as resistance even amid strong momentum).

Promoter / Governance Track Record

Only one guidance-vs-actual item has enough history to assess so far (first research run for this company): FY26 revenue growth, which exceeded the original 18-20% guidance. There is not yet a multi-quarter track record to characterize a broader pattern.

Shareholding: Promoter shareholding stood at 70.18% as of the most recent disclosure (screener.in), described as stable; no share pledge was shown in the sources reviewed.

Promoter Fund Raises: One raise is on record. A preferential allotment of 59,76,096 equity shares at Rs. 502/share (Rs. 300cr, Rs. 293cr net proceeds) was board-approved on 3 June 2026 and cleared its EGM on 27 June 2026, for repayment of borrowings and general corporate purposes. Disclosed investors span both "Promoter & Promoter Group and Non-Promoter categories" (institutional participants named include funds managed by WhiteOak Capital, Kotak Mahindra Trustee Company, ValueQuest, and 360 ONE) — the exact promoter-vs-institutional split was not disclosed in the sources reviewed, so this is logged as a mixed-allottee raise rather than a pure promoter or pure institutional one. Status: allotted (not pending/lapsed).

Credit Rating Snapshot: CARE Ratings reaffirmed CARE A-/Stable on 10 October 2025, across long-term bank facilities (enhanced to Rs. 205.08cr from Rs. 75.05cr), long-term/short-term bank facilities (enhanced to Rs. 673cr from Rs. 452cr), and short-term bank facilities (enhanced to Rs. 437cr from Rs. 214cr). This is the only rating action found in the sources reviewed — no earlier baseline rating was located, so no upgrade/downgrade trend can be shown. The rationale cites experienced promoters and a reputed client base, but is explicitly constrained by exposure to wholly-owned subsidiaries (Malwa Power Private Limited, DEE Fabricom India, DEE Piping Systems Thailand) still scaling up, working-capital-intensive operations, and raw-material price volatility. No downgrade or negative/watch-negative outlook is currently in force.

Legal & Litigation: One matter is on record and reasonably well-quantified in terms of the dispute mechanics (though not in disclosed rupee contingent-liability terms). PSERC revised the tariff for DEE's Power Division (Malwa Power Private Limited / 8 MW biomass plant) down to Rs. 5.877/unit in August 2025; the company's appeal to the High Court of Punjab & Haryana secured a stay in October 2025, so it continues billing PSPCL at the prior Rs. 7.47/unit pending final disposal, with a possible further appeal to APTEL flagged by management. No other litigation, tax dispute, or regulatory/arbitration matter was found in the sources reviewed.

Key Risks

- **Regulatory/tariff risk in the Power Division:** the PSERC tariff dispute directly affects the economics of DEE's power-generation assets (Malwa Power, 8 MW biomass); while currently stayed in the company's favor, the matter remains open and a less favorable final outcome would affect the differential DEE can bill PSPCL.
- **Execution risk on a fast-growing order book:** order book more than doubled from ~Rs. 1,300cr (Dec 2025) to ~Rs. 2,430cr (May/Jun 2026) within about six months — CARE Ratings itself flags project execution and stabilisation risk, and a diminishing order book below Rs. 500cr or GCA below Rs. 40cr are explicitly named negative rating triggers (the inverse of current momentum, but illustrative of what the rating agency watches).
- **Working-capital-intensive operations:** CARE flags elongated collection and inventory periods as a structural constraint; further elongation of the operating cycle beyond 250 days is an explicit negative rating trigger.
- **Subsidiary scale-up risk:** CARE's rating is explicitly constrained by DEE's exposure to wholly-owned subsidiaries (Malwa Power, DEE Fabricom India, DEE Piping Systems Thailand) that are still in the process of scaling up operations and are not yet self-sustaining.
- **Raw-material price volatility:** flagged by CARE as a constraining factor, relevant given the company's steel/alloy input base.
- **Post-preferential-allotment dilution:** the June 2026 preferential issue (~0.6cr new shares) is modestly dilutive to existing shareholders and is not yet reflected in the share count used in this report's Forward PE calculation.

Research summary of publicly available information only — the Q3 FY26 concall transcript (primary source), secondary financial-news coverage of the Q4 FY26 concall (the primary transcript for that call was corrupted/unreadable in this run), screener.in, CARE Ratings rationales, and exchange filings as cited inline. Forward PE is arithmetic on a management estimate, not a valuation call. This is not investment advice; consult a

SEBI-registered investment advisor before making any financial decision.